losing money. But we had ridiculously volatile returns, and if you didn't adjust your strategy, you might have seen daily moves in the portfolio of 20% or more. In a single day!

How to handle situations like this is a controversial subject. You would clearly have made the most money by simply sticking to your rules and ignoring the noise. But there's good reason why most trend followers didn't do this, why they overrode their models. This situation, this type of market, was something totally new. No amount of planning or backtesting could have prepared you for this, and your models simply weren't made for this market regime. Allowing daily swings of 20% or more is simply irresponsible, and even if luck now puts you on the winning side, as an asset manager you have a fiduciary responsibility towards your investors. They never signed up for this kind of insane ride.

For this book and this chapter, I will assume that you followed the rules nonetheless. But, personally, I would advocate for overriding the model and greatly reducing risk if something like this ever happens again. Better still, have a plan in place for unthinkable events.

Remember how we kept losing on the short side for all this time? Almost every year, we see all the gains on the long side and all the losses on the short. Well, this is the year to show you why you need to trade both. We did see a respectable gain of 40-odd% on the long side (Figure 6.40), but it was the near 100% return on the short side that really made a difference. We made some money on long non-agricultural, mostly gold, early in the year. After that, there were no more bullish trends in that space, and the only thing that made money on the long side late in the year was long rates.

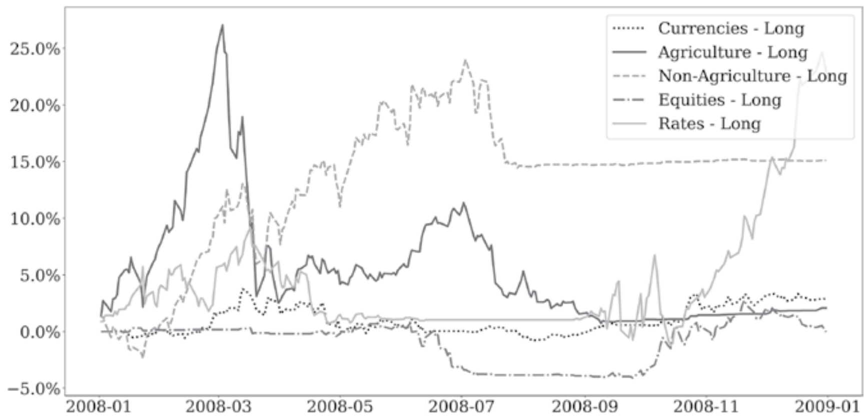

FIGURE 6.40 Long sector performance 2008.